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Yaskawa Electric (6506) | Japan

F2/27 1Q Results: Brisk Orders Positive, but Margin Issues Remain Particularly in Robotics

Reaction to earnings

Weakens our thesis
Impact to our thesis

↓ Meaningful shortfall
Financial results versus consensus

↓ Modest revision lower
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 1Q results significantly missed prior expectations due mainly to production disruption and costs increases associated with the ERP system migration.
- Motion Control: Orders increased steadily, but sales failed to grow YoY due to production disruption issues.
- Robotics: Sharp growth in orders was positive, but the margin fell more than expected to 1.6% due to the impact of ERP system migration/restructuring costs.
- We expect steady recovery from 2Q as production normalizes, and view guidance as achievable, but results likely fell well short of elevated market expectations.

1Q results: 1Q OP was -19% YoY to ¥8.5bn, falling far short of our ¥15bn forecast and the ¥14.4bn consensus due mainly to the impact of production disruption and cost increases associated with the ERP system migration.

1Q orders: Consolidated orders were +28% YoY and +7% QoQ to ¥163.8bn. 1) AC servo: Orders continued to grow, at +65% YoY and +10% QoQ, driven mainly by semiconductor and data center-related applications, but this was slightly short of our assumption. 2) Inverters: Orders were +31% YoY, -3% QoQ, broadly in line with our assumptions. 3) Robotics: Orders recovered to +14% YoY and +37% QoQ, centering on general industrial and semiconductor-related applications, and beat our assumptions.

Full-year guidance remains unchanged.

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Yaskawa Electric (6506.T, 6506 JT)

Factory Automation | Japan

Stock Rating

Industry View

Price target

Shr price, close (Jul 10, 2026)

Mkt cap, curr, basic (bn)

Avg daily trading value (bn)

Overweight

Attractive

¥7,500

¥6,972

¥1,808.3

¥20.6

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Valuation Methodology and Risks

Yaskawa Electric (6506.T)

P/B of 3.5x on F2/28e BPS of ¥2,134.

We forecast F2/28 OP of ¥77bn. Referencing past valuations, P/B was 2.2x when ROE was 10.7%. We apply 60% premium to this theoretical multiple considering: 1) we see huge potential for robotics demand to grow amid automation demand and physical AI; 2) Servo orders are recovering well for semi-related applications, 3) and OP is expected to hit past peak thanks to volume increase.

Risks to Upside

- Stronger-than-expected recovery in private-sector capex
- Faster-than-expected penetration of FA and robotics in EMs

Risks to Downside

- Capex trends in electronics- and autos-related fields; the speed of FA penetration in EMs
- Forex (OP forex sensitivity is about ¥240mn for a ¥1/US\$ change, ¥220mn for a ¥1/€ change, ¥330mn for a ¥1/CNY change, and ¥250mn for a ¥1/KRW change)

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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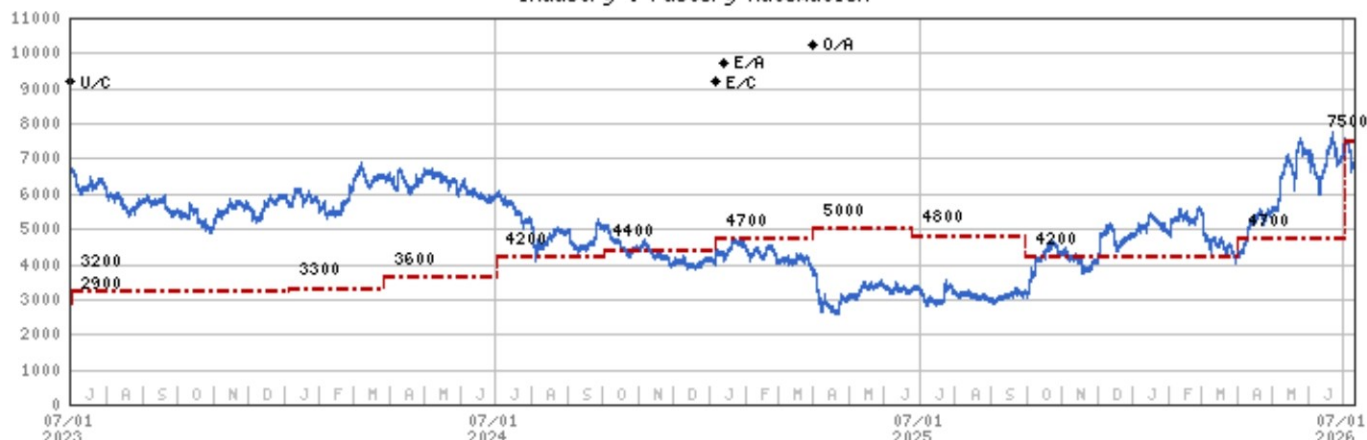
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Stock Price, Price Target and Rating History (See Rating Definitions)

Yaskawa Electric (6506.T) - As of 07/10/26 GMT in JPY
Industry : Factory Automation



Stock Rating History: 7/1/21 : U/C; 7/4/22 : U/C; 1/7/25 : E/C; 1/14/25 : E/A; 4/1/25 : O/A

Price Target History: 4/6/21 : 3600; 7/6/21 : 4000; 10/4/21 : 4600; 7/4/22 : 3500; 9/27/22 : 3200; 1/5/23 : 3000; 4/3/23 : 2900; 7/2/23 : 3200; 1/5/24 : 3300; 3/27/24 : 3600; 7/2/24 : 4200; 10/2/24 : 4400; 1/7/25 : 4700; 4/1/25 : 5000; 6/25/25 : 4800; 9/30/25 : 4200; 4/1/26 : 4700; 7/2/26 : 7500

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/10/2026)
Lisa Jiang		
CKD (6407.T)	E (10/22/2024)	¥7,230
Daifuku (6383.T)	E (05/06/2022)	¥6,867
Harmonic Drive Systems (6324.T)	E (05/06/2022)	¥7,880
Misumi Group (9962.T)	O (06/20/2023)	¥3,994
Nabtesco (6268.T)	E (10/27/2023)	¥5,428
Omron (6645.T)	U (01/07/2025)	¥6,010
THK (6481.T)	O (03/07/2024)	¥7,688
Yaskawa Electric (6506.T)	O (04/01/2025)	¥6,972
Takeshi Kitaura		
Fanuc (6954.T)	E (07/06/2026)	¥7,156
Keyence (6861.T)	O (07/06/2026)	¥76,970
SMC (6273.T)	E (03/12/2026)	¥75,570

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